Lowe’s Case Study 2026

TEAM #41 MEMBERS

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Situation: Making Significant Progress Under Current CEO

Scale & Market Context

Lowe's is a leading U.S. home improvement retailer serving DIY homeowners and professional contractors in a highly fragmented $1T market.

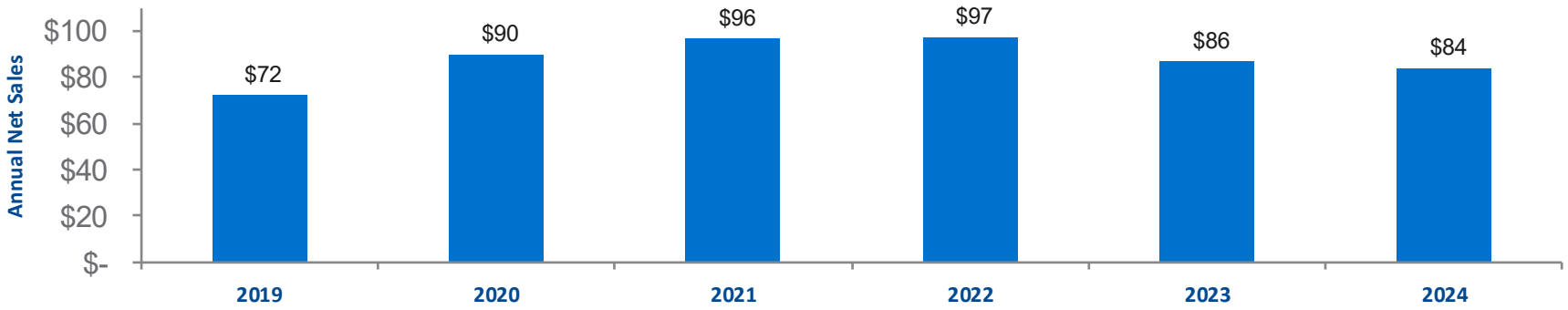
Total Home Strategy Launch

After years of underperformance, Marvin Ellison was appointed CEO in 2018 and launched the Total Home Strategy to reset operations and drive growth across Pro fulfillment, digital retail, and localization.

Revenue Trajectory

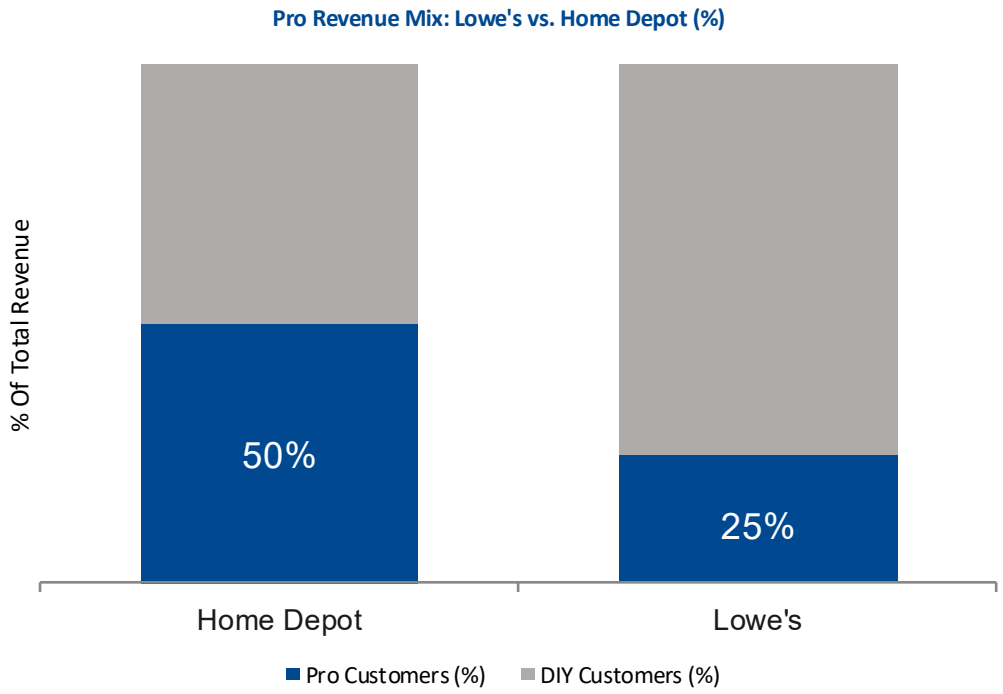
Lowe's revenue grew from $72B to a peak of $97B driven by pandemic tailwinds and strategic execution — but has since moderated to $84B as macro headwinds and higher interest rates slow discretionary spending.

Lowe's Annual Net Sales ($ Billions) from 2019 to 2024



Sources: Lowe's Annual Reports FY2019–FY2024; HBS Case 9-524-054

Complication: Revenue and margins have grown significantly but still have considerable room for improvement



Home Depot generates 50% of revenue from Pro customers while Lowe's generated only 25% of revenue from Pros

Lowe's competitors are capturing the benefits of dedicated medium-Pro enhancement facilities, while Lowe's continues to lag behind in serving this segment.

MyLowe's Membership Network remains underutilized as online revenue sits at 10% amidst mid-teen percentage point target

Sources: HBS Case 9-524-054; Lowe's & Home Depot Annual Reports

Lowe's 3 strategic priorities should be to scale the PFC network, enhance the loyalty program and accelerate retail media monetization

01

Scaling the Pro Fulfillment Network

Deploy PFCs in underserved markets with deep Pro inventory and specific Pro offerings like jobsite delivery. This will unlock $30-$65M of revenue per facility and capture mid-size Pros from existing market gaps.

Expected Impact: Revenue: $1.68 B, Avg. Net Margin: 12%

02

Loyalty Program Enhancement

Loyalty program members are our most valuable customer, spending considerably more than other customers. By leveraging AI to be an omnipresent project manager, we can offer more value by delivering personalized recommendations on needed products which then drives additional purchases.

Expected Impact: Revenue: 1.82 B, Avg. Net Margin: 13%

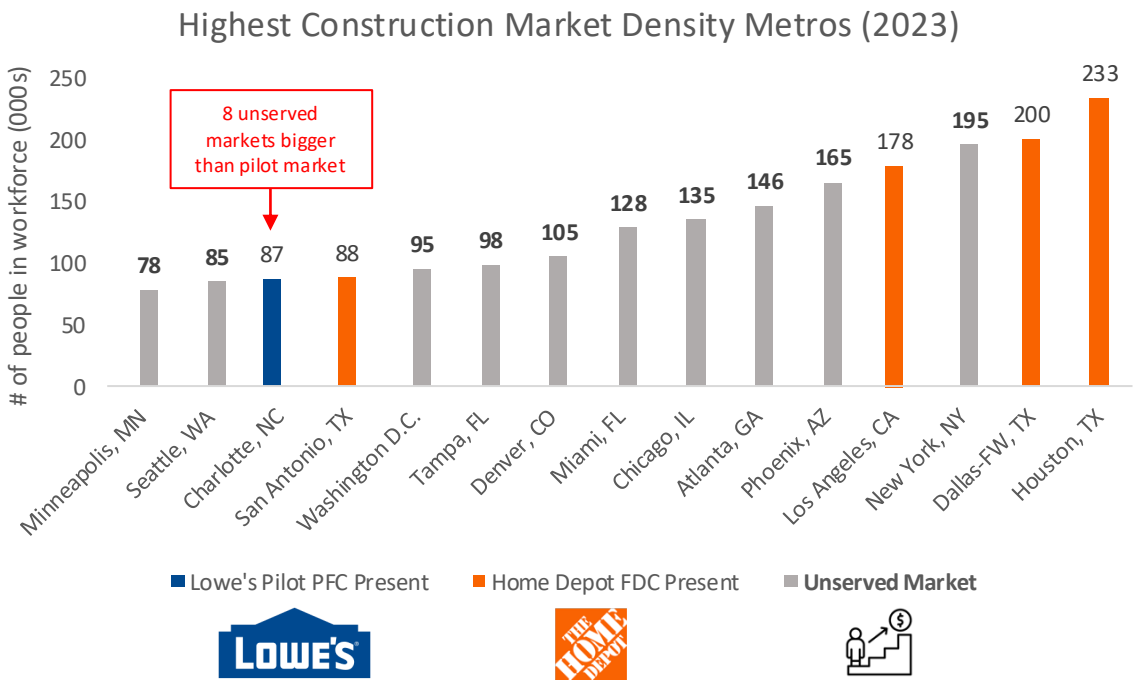
03

Retail Media Network Acceleration

Retail media is the industry's fastest-growing segment and Lowe's highest-margin offering (80%). We've tripled vendor brands in 3 years and can meaningfully increase ad spend.

Expected Impact: Revenue: $3 B, Avg. Net Margin: 80%

Sufficient demand density exists in target markets



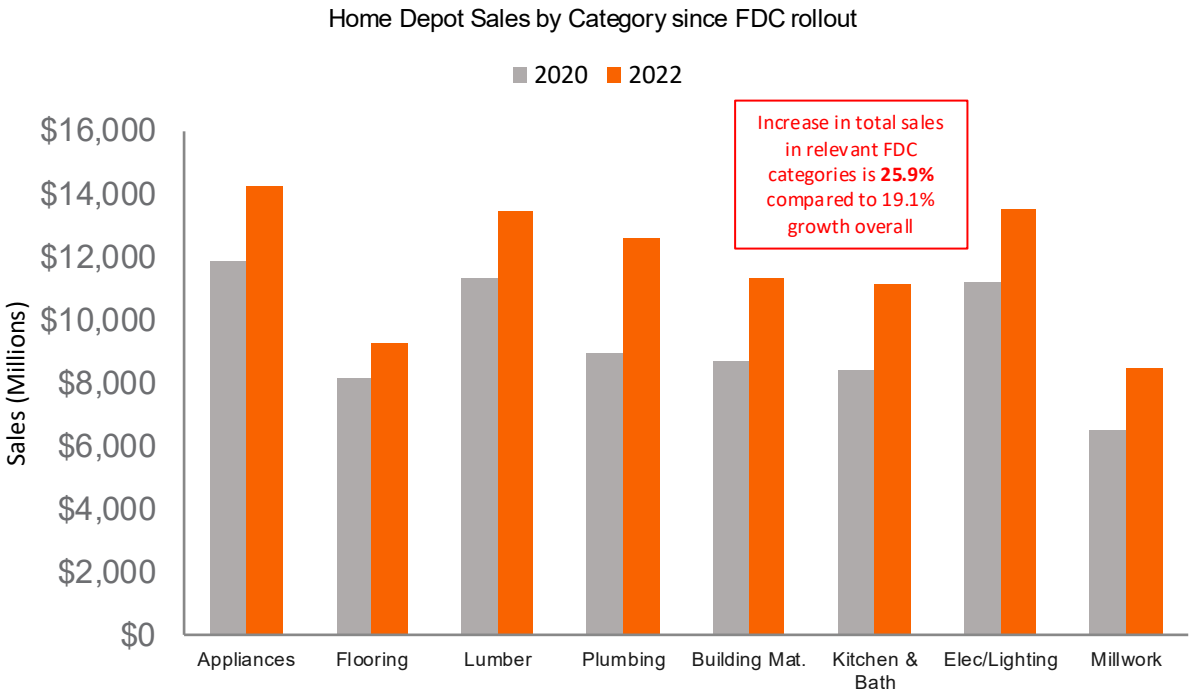
On a recent Home Depot revenue call, their CEO mentioned that 1 billion in **incremental** revenue came from their "pro initiative." Home Depot's increasing 17 FDCs throughout the country also validate the demand for Medium Pro presence throughout the country.

There are **10 total markets** where there is **no Medium Pro presence** from either Lowes or Home Depot within the top 15. This represents a huge opportunity for Lowe's who could capture each of those markets if they build before Home Depot

8 markets exist that are bigger than San Antonio (the lowest Home Depot FDC city) and Charlotte (Lowe's Pilot PFC Presence). This means PFC's in these 8 markets are likely to be even more successful than the first PFC

Sources: BLS QCEW 2023 (NAICS 23); Lowe's HBS Case 524-054; Home Depot Q2 Revenue Call

PFC sales will not cannibalize in-store revenue



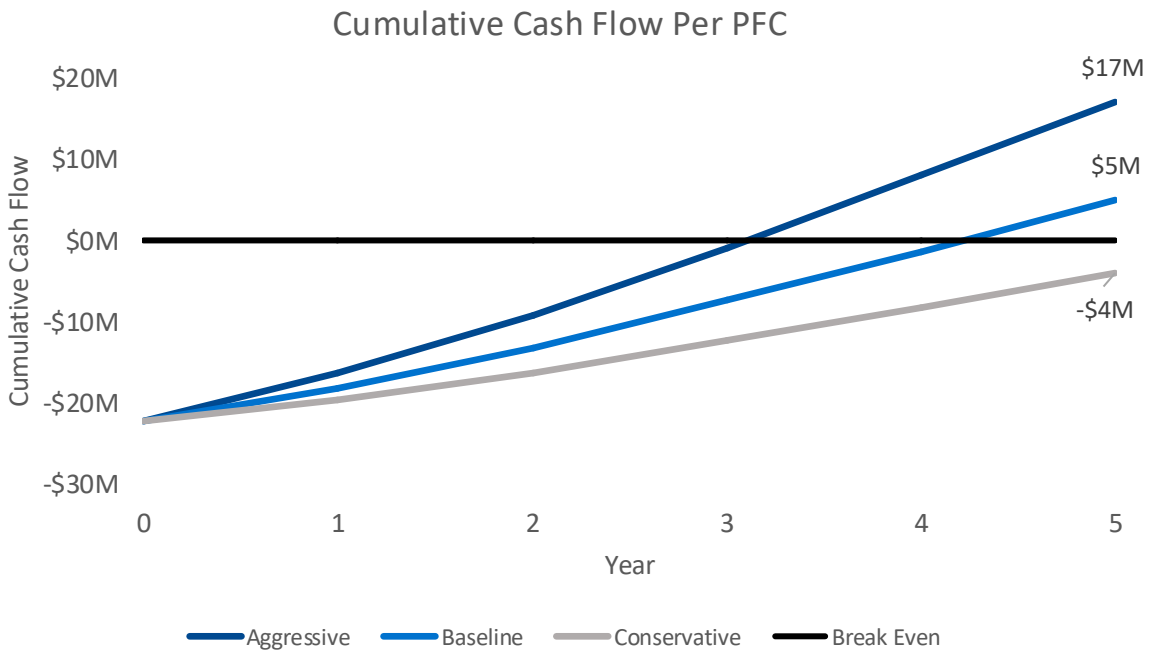
Home Depot has increased total sales in every category relative to Medium Pro demand since rollout of the FDC's. **These sales growth percentages outstrip comparable sales growth,** indicating higher growth in FDC categories than other categories.

As mentioned, Home Depot's CEO said there was a 1 billion increase in **incremental** revenue came from their "pro initiative." This signals that the pro initiatives (FDC's) rolled out by Home Depot offer a huge upside for new revenue streams.

Without PFCs, bulk Pro orders already cannibalize stores. PFCs are literally built to eliminate an existing cannibalization risk.

Sources: Home Depot 2022 Annual Report p.49; HD Supply Chain Blog (Dallas FDC, Jan 2020); Lowe's HBS Case 524054; Home Depot FY2024 10-K & Q2 2025 Earnings Call

Scaling PFCs can generate $30-$65M in annual revenue per facility, delivering payback in under 6 years



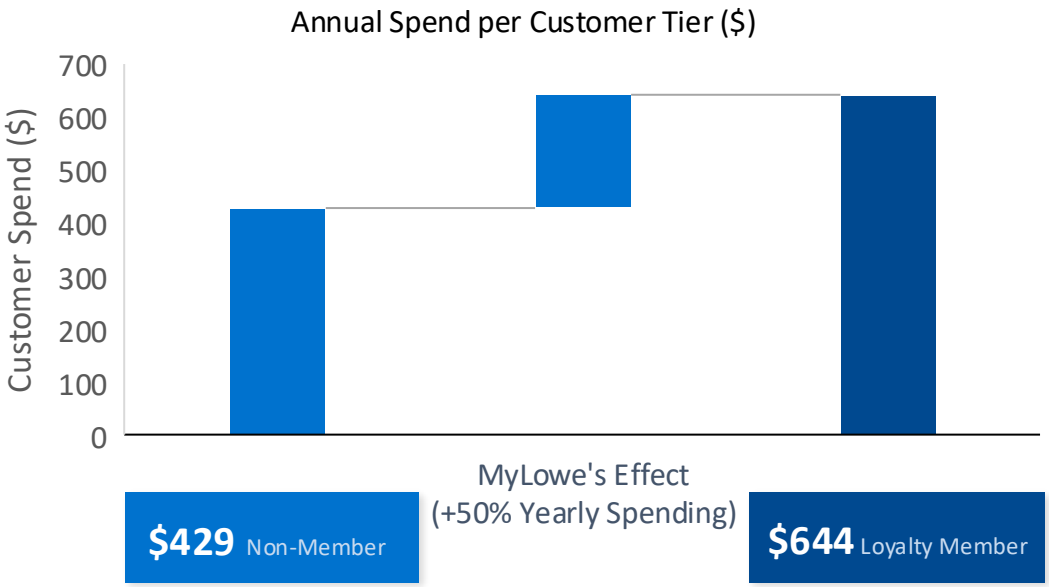
Projections show that a PFC has positive cumulative cash flow under both baseline and aggressive outcomes within 5 years.

Average Lowe's store does $50 to 55M which currently has a mix of 25% Pro revenue for about $13m per store. Each PFC serves 10-15 stores, and we plan on getting 20-40% of the addressable Pro wallet for our revenue numbers.

PFCs are built to enhance our product offering to Pros and drive our Pro market share. We can now accomplish this at scale across our network.

Note: Full assumptions listed in appendix. Store information is based off pilot PFC in Charlotte and industry averages. Ramp up to steady-state revenue is assumed to be a 3 year process. Full assumptions can be found in the appendix. Sources: Team financial model; Lowe's HBS Case 524-054; Industry CAPEX benchmarks for distribution facilities

MyLowe's members substantially outspend non-members



After just 1 year of launching MyLowe's Rewards and MyLowe's Pro Rewards, **Lowe's has already tallied over 30 million members**, one of the fast rewards-program expansions in retail history.

Rewards members are "**spending nearly 50% more than nonmembers**"[1] with "**notable increase in repeat shopping rates**,"[2] highlighting early success in the MyLowe's Rewards programs.

Lowe's Pro and DIY rewards programs are working.
With the launch of Milo (Lowe's AI-tool built with OpenAI), Lowe's has positioned itself to **expand current partnership with OpenAI** and develop personalized customer profiles that track projects and **incentivize completing entire projects with Lowe's.**

Sources: HBS Case 9-524-054 Exhibit 2B; Bill Boltz Q1 2025 ([1]) & Q4 2024 Earnings Calls ([2]); Marvin Ellison Q1 2024 Earnings Call; Marvin Ellison Q3 FY2025 Earnings Call

AI-driven recommendations will increase spending per member and drive attachment rate

Project Sequencing Drives Attachment Rate

When a customer buys tile, the agent triggers grout, spacers, and tile saw purchase. Revenue per project increases without a single promotional dollar spent, creating pure margin uplift.

↑ basket size + unplanned spending

Persistent Home Profile Creates Switching Costs

Three years of project history, paint formulas, and home specs stored in Lowe's platform has a real cost for customers to abandon. Retention improves and customer acquisition cost falls.

↑ program utilization + profile accuracy

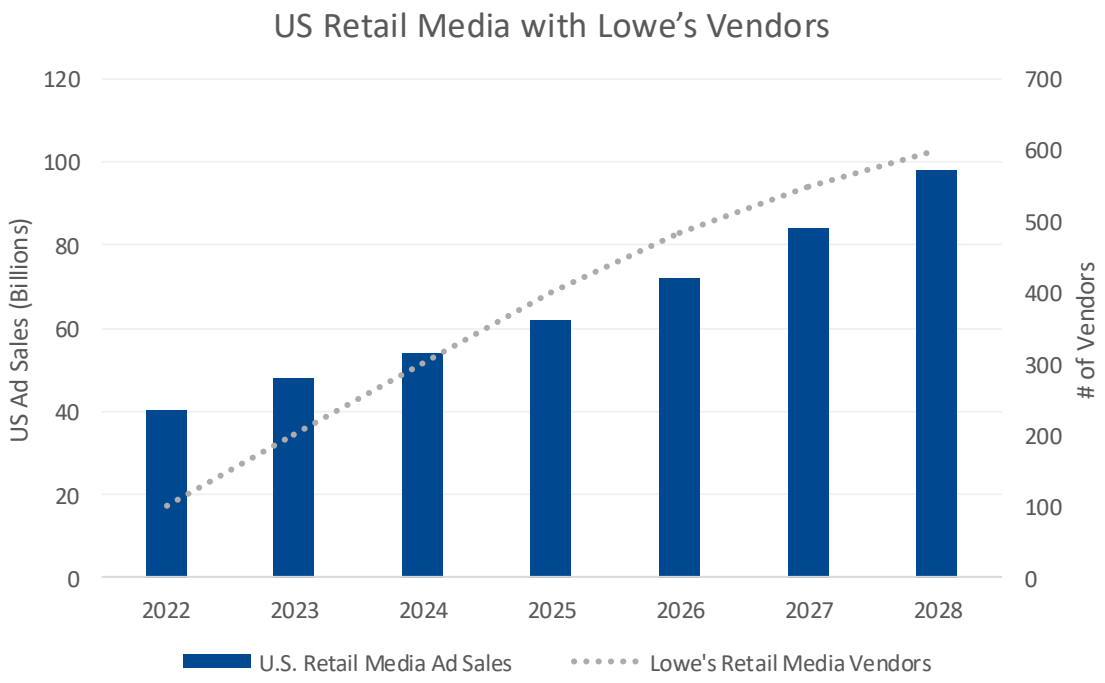
Project Completion Tiering Aligns Incentives

Rewards structured around completing full projects at Lowe's (not visit frequency) aligns incentives with high-margin, high-basket-size behavior rather than discount-seeking.

↑ AI data richness + profile accuracy

OUR RECOMMENDATION: FURTHER THE STRATEGIC PARTNERSHIP WITH OPENAI TO (1) HARNESS PROPRIETARY DATA (2) CAPTURE CUSTOMERS' ENTIRE PROJECT LIFECYCLE

Advertisers meaningfully value Lowe's media network



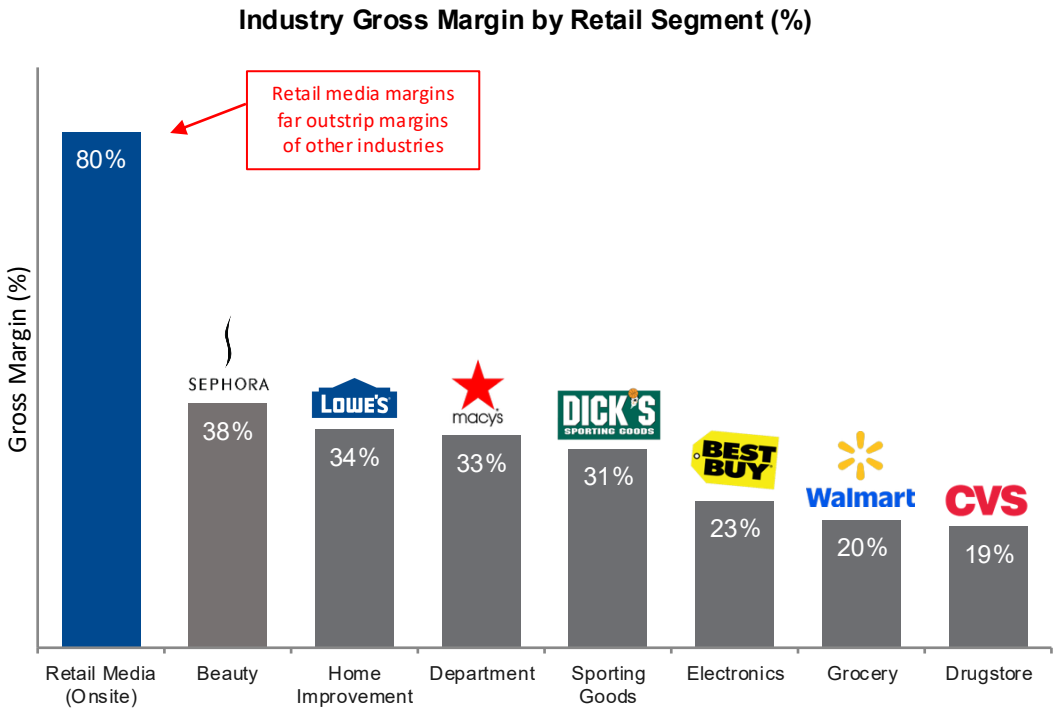
There are 110 million customers reachable through Lowe's One Roof Media Network as currently constructed, creating a massive advertiser audience for targeted home improvement ads.[1]

76% of U.S. advertisers plan to increase retail media budgets in 2026.[2] Lowe's is uniquely positioned to capitalize on this opportunity.

300+ vendors active on Lowe's media platform by 2024, up from 100 in 2022.[3] There is proven demand and growing platform traction among vendors.

Sources: Adtelligent (adtelligent.com/blog/retail-media-market-outlook/); Forrester Research 2025; Lowe's case materials

Onsite retail media is Lowe's highest-margin growth lever



With **80%** gross margins, onsite retail media is Lowe's most powerful driver of incremental earnings growth (generating **2-3x** the margin of Lowe's core retail business)

Onsite sponsored search and product ads convert Lowe's existing customer traffic directly into profit. Offsite media extends that reach, but sustainable earnings growth is built onsite.

While Lowe's LORMN remains under monetized, Home Depot is compounding its advantage with 350+ employees and 35% YoY growth.

Sources: BCG Commerce Media Survey (2022, N=35); BCG CPG Retail Media Benchmarking Survey (2021, N=100); BCG 2022 retail media report

Guideline via Marketing Brew — "Home Depot Retail Media Spend Up 35% Year Over Year," April 2024

Expected Impact

PFC / FDC NETWORK	LOYALTY (MYLOWE'S)	RETAIL MEDIA NETWORK	TOTAL EXPECTED IMPACT (5 YEARS)
Projected 5 yr Revenue total	Projected 5 yr Revenue total	Projected 5 yr Revenue total	Projected additional 5 yr Revenue total
$1.68 B	**$1.82 B**	**$3 B+**	**$6.5 B**
Expected Net Margin	Expected Net Margin	Expected Net Margin	Avg Expected Net Margin from Initiatives
12%	**13%**	**80%**	**35%**
(Compared to 6% avg total margin in 2023)	(Compared to 6% avg total margin in 2023)	(Compared to 6% avg total margin in 2023)	(Compared to 6% avg total margin in 2023)
Strategic Impact	Strategic Impact	Strategic Impact	Summary
Improved medium-pro penetration through entering at least 8 high impact untouched markets	**Increased attachment rate and spend from MyLowe's loyalty program**	**Improved Retail Media Network, leading to a high margin and high growth revenue stream**	**Lowe's will be well positioned in 5 years, with increased revenue and greater margins**

Implementation

PFC / FDC NETWORK

National Pro Logistics Platform

Year 0-1: Expand Pilot and Enter New Markets Take the lessons learned from the existing pilot program and launch expansion into three of the chosen 8 markets. Conduct market research and test the vitality of the new PFCs.

Year 1-3: Establish Network At Scale Expand into all three markets. Build out salesforce to inform mid-size Pros of the value offered by the new PFCs and start ramping up to full steady-state revenue for each store.

Year 3-5: Construct Barriers of Imitation Dominate the market share of mid-size Pros in each market area and ensuring that no competitor can build a competing fulfillment center within the same region. Start expanding number of stores into additional identified markets.

LOYALTY (MYLOWE'S)

Project Lifecycle Platform

Year 0–1: Build the Data Foundation Launch project profile capture across all MyLowe's members (store purchase sequences, paint formulas, home specs, etc.).Partner with OpenAI for model infrastructure rather than building from scratch.

Year 1–3: Deploy Personalization at Scale Activate project sequencing triggers across the top 20 project types (bathroom, flooring, kitchen, etc.). Roll out completion-based reward tiers replacing visit-frequency incentives. Target 10M converted members.

Year 3–5: Close the Loop Use 3+ years of accumulated project data to build predictive models that anticipate the next project before the customer knows they need it. Expand to contractor-linked profiles for medium Pro customers. Target 18M converted members and full margin contribution.

RETAIL MEDIA NETWORK

High-Margin Revenue Engine

Year 0–1: Scale Onsite Inventory Expand sponsors search and product placements across Lowes.com. Continue growth rate of vendors by adding 100 additional firms.

Year 1–3: Leverage Ad Personalization Utilize personalization data from Lowe's Loyalty program to drive more targeted ads, and increase spend from each advertiser.

Year 3–5: Scale Prioritize highest value vendors and scale internationally in Canada and Mexico. Maintain platform for potential vendors to solidify market leadership in retail media for home improvement.

THANK YOU

Group #41 · Conner Rice · Truman Porter · Ben Calvert · Kai Rinne

LOWE'S CASE STUDY 2026

Appendix

Sources (1)

1. Lowe's Companies, Inc. — HBS Case 9-524-054 (primary source for strategy, financials, and market context)

2. Bureau of Labor Statistics — QCEW 2023, NAICS 23 Construction, by MSA (construction worker concentration data)

3. Home Depot FY2024 10-K Annual Report (FDC count, capital allocation, and B2B revenue disclosures)

4. Home Depot Q2 2025 Earnings Call Transcript — $1B+ incremental B2B sales from FDC rollout

5. Home Depot 2022 Annual Report, p. 49 (Exhibit 2C — sales by product category, 2020–2022)

6. Home Depot Supply Chain Blog — 'Supply Chain Unveils First Flatbed Distribution Center,' Dallas, January 2020

7. Marvin Ellison, Chairman & CEO of Lowe's — Q1 2024 Earnings Call, May 21, 2024 (personalization and data strategy)

8. Marvin Ellison, Chairman & CEO of Lowe's — Q3 2024 Earnings Call, November 19, 2024 (loyalty program KPIs)

9. Bill Boltz, EVP Merchandising — Q1 2025 Earnings Call, May 21, 2025 (MyLowe's Rewards membership metrics)

10. Bill Boltz, EVP Merchandising — Q4 2024 Earnings Call, February 26, 2025 (50% outspend confirmation)

Sources (2)

1. Jen Wilson, SVP Enterprise Brand & Marketing — Program Launch Press Release, January 10, 2024

2. Jen Wilson, CMO — December 2024 Investor Day (loyalty spending expectations and program maturation)

3. Lowe's Corporate Press Release — Mylow AI product advisor launch, March 5, 2025

4. Digital Commerce 360 — Coverage of Mylow vs. Magic Apron launch comparison, March 11, 2025

5. Adtelligent — 'U.S. Retail Media Market Outlook' (adtelligent.com/blog/retail-media-market-outlook/)

6. Forrester Research — 'U.S. Retail Media Ad Sales Will Hit $40 Billion' (forrester.com)

7. BCG — 'How Media Is Shaping Retail' 2022 (bcg.com/publications/2022/how-media-is-shaping-retail)

8. BCG Commerce Media Survey (2022, N=35); BCG CPG Retail Media Benchmarking Survey (2021, N=100)

9. Team Financial Model — PFC/FDC unit economics: CAPEX $22M, scenarios $30M/$45M/$65M steady-state revenue

10. Team Financial Model — Loyalty impact: 20% uplift assumption; 5-year penetration curve to 60% of 30M member base

Sources (3)

1. Marketing Daily, MediaPost — "Home Depot's Orange Apron Media Tops 350 Employees," 2024

2. Guideline via Marketing Brew — "Home Depot Retail Media Spend Up 35% Year Over Year," April 2024

3. Lowe's Companies Inc. — FY2025 Annual Report (LORMN revenue undisclosed across all earnings releases and annual reports through FY2025)

4. Lowe's Companies Inc. — Q3 FY2025 Earnings Call, November 19, 2025, Refinitiv Streetevents Edited Transcript (LOW.N)

PFC Financial Model Assumptions

LOWE'S PFC/FDC FINANCIAL MODEL - ASSUMPTIONS	
CAPITAL INVESTMENT	
Facility Size (sq ft)	200,000
Build Cost per Sq Ft	$85
Fit-Out % of Build Cost	32%
Total Building Cost	$17M
Total Fit-Out Cost	$5M
TOTAL CAPEX	$22M
REVENUE ASSUMPTIONS	
Downside Steady-State Revenue	$30M
Baseline Steady-State Revenue	$45M
Upside Steady-State Revenue	$65M
Year 1 Ramp % (% of steady state)	70%
Year 2 Ramp % (% of steady state)	85%
Annual Growth Rate (Year 3+)	5%
OPERATING ASSUMPTIONS	
Gross Margin %	38%
OPEX % of Revenue	25%

5-YEAR FINANCIAL PROJECTIONS - ALL SCENARIOS

DOWNSIDE SCENARIO ($30M)	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Capital Investment	-$22M	$0M	$0M	$0M	$0M	$0M
Revenue	$0M	$21M	$26M	$30M	$31M	$33M
Gross Profit (38%)	$0M	$8M	$10M	$11M	$12M	$12M
OPEX (25%)	$0M	$5M	$6M	$8M	$8M	$8M
Annual Cash Flow	-$22M	$3M	$3M	$4M	$4M	$4M
Cumulative Cash Flow	-$22M	-$20M	-$16M	-$12M	-$8M	-$4M

BASELINE SCENARIO ($45M)	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Capital Investment	-$22M	$0M	$0M	$0M	$0M	$0M
Revenue	$0M	$32M	$38M	$45M	$47M	$49M
Gross Profit (38%)	$0M	$12M	$15M	$17M	$18M	$19M
OPEX (25%)	$0M	$8M	$10M	$11M	$12M	$12M
Annual Cash Flow	-$22M	$4M	$5M	$6M	$6M	$6M
Cumulative Cash Flow	-$22M	-$18M	-$13M	-$8M	-$1M	$5M

UPSIDE SCENARIO ($65M)	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Capital Investment	-$22M	$0M	$0M	$0M	$0M	$0M
Revenue	$0M	$46M	$55M	$65M	$68M	$71M
Gross Profit (38%)	$0M	$17M	$21M	$25M	$26M	$27M
OPEX (25%)	$0M	$11M	$14M	$16M	$17M	$18M
Annual Cash Flow	-$22M	$6M	$7M	$8M	$9M	$9M
Cumulative Cash Flow	-$22M	-$17M	-$9M	-$1M	$8M	$17M

Retail Media Assumptions

Assumption	Conservative	Baseline (your $3B)	Aggressive	Source
US RM TAM growth	15% CAGR	18% CAGR to $98B '28	20% CAGR	
Lowe's RM as % sales	0.2%	0.35% avg	0.5%	Team model implied
Vendor growth	400 by '28	600 by '28	900+	Tripled past 3 yrs
Margin	70%	80%	85%	BCG peers
5-yr incremental rev	$2B	$3B	$4B+	

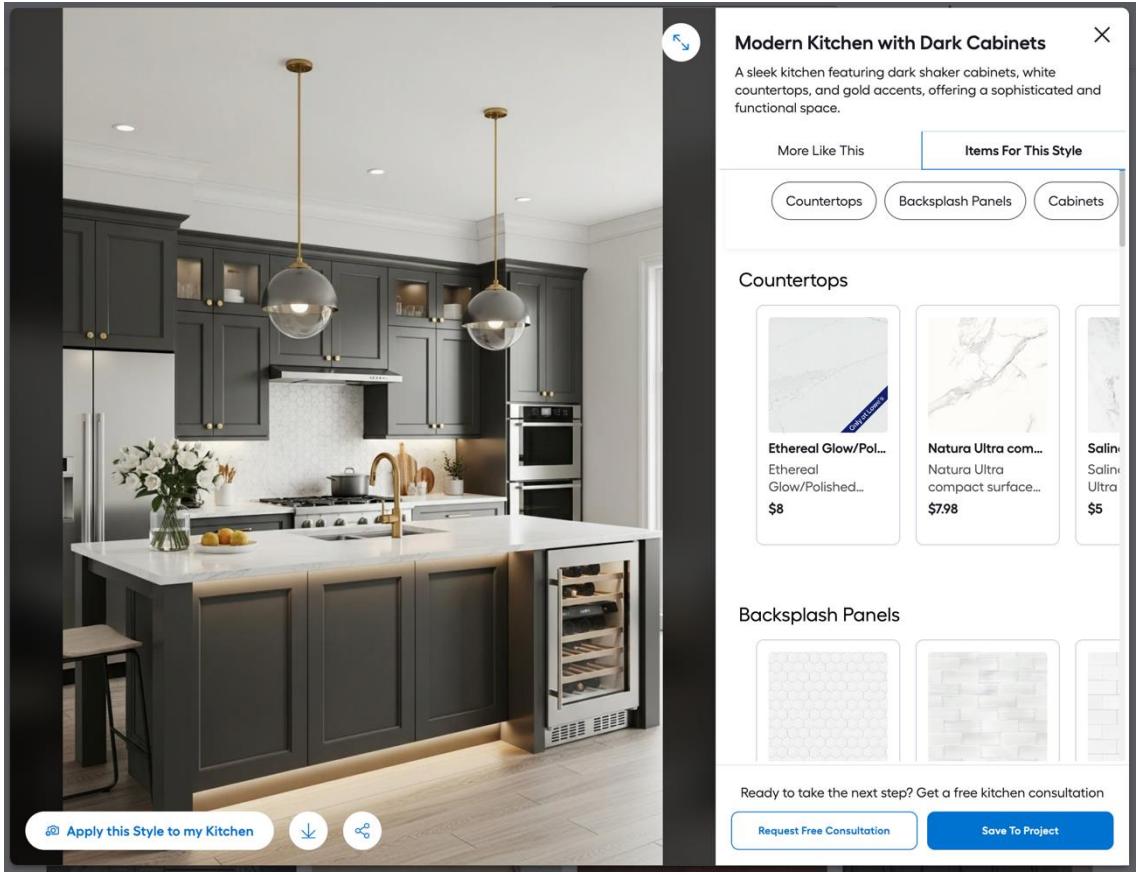
Rewards Program Expansion Assumptions

5-YEAR FINANCIAL IMPACT OF PRIORITY #2— AI-POWERED PROJECT LIFECYCLE LOYALTY			
Year	**Members Converted**	**Incremental Revenue**	**Net Margin Impact**
1	3.0M	$387M	($22M)
2	6.0M	$774M	$155M
3	10.5M	$1,355M	$372M
4	15.0M	$1,935M	$589M
5	18.0M	$2,322M	**$726M**
Cumulative 5-year net margin: $1.82B — equivalent to 78 basis points of operating margin improvement on Lowe's $93B revenue base			

Source for the 20% assumption:
Bain & Company finds that AI personalization at scale — including conversational shopping assistants, enhanced search, and localized recommendations — can increase a retailer's revenue by 5–10% overall. A separate Bain study on personalized marketing found revenue uplifts of 10–25% for retailers with mature personalization programs. Our 20% assumption sits squarely within that range, applied conservatively to project lifecycle capture across 8–12 purchasing moments per project.

Cite it as:
- *"Retail and Gen AI: Now Scale Those Terrific Early Returns"* — Bain & Company (bain.com/insights/retail-and-gen-ai-now-scale-those-terrific-early-returns/)
- *"Personalized Marketing & Engagement"* — Bain & Company (bain.com/consulting-services/customer-strategy-and-marketing/...)

Current Online Project Offering



PFC and cannibalization

"When these Pros shopped at Lowe's, like for the roof of a 5,000-square-foot house, the quantities of materials (e.g., roof shingles) needed often exceeded a store's inventory levels. In addition to commanding all the inventory on hand at the store where the order was placed, to complete the sale, an associate had to call nearby Lowe's stores to procure the remaining amount, which also depleted those stores' inventory levels. Consequently, no inventory was left for Pros who later came in with occasional needs."

Product Mix analysis

2. Sales for the group

Growth:

94,318 − 74,925 = **19,393**

Group growth rate:

25.9%

Year	Sales
Year 1	74,925
Year 3	94,318

Total company growth

Growth:

157,403 − 132,110 = **25,293**

Total growth rate:

19.1%

Year	Net Sales
Year 1	132,110
Year 3	157,403